MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
UNIVERSITY OF CAMBRIDGE LOCAL EXAMINATIONS SYNDICATE
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9732/01

Paper 1

October/November 2016

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen on both sides of the paper.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

The Indian government purchases rice and wheat directly from farmers at minimum support prices (MSPs). These prices are set artificially high. The MSPs for wheat and rice have increased significantly over the past six years, with that of rice up 75% and that of wheat up 40%. The increasing MSPs have contributed to expanding production and rapidly rising government stocks. The Indian government purchases these basic crops from farmers. Of these purchased crops:

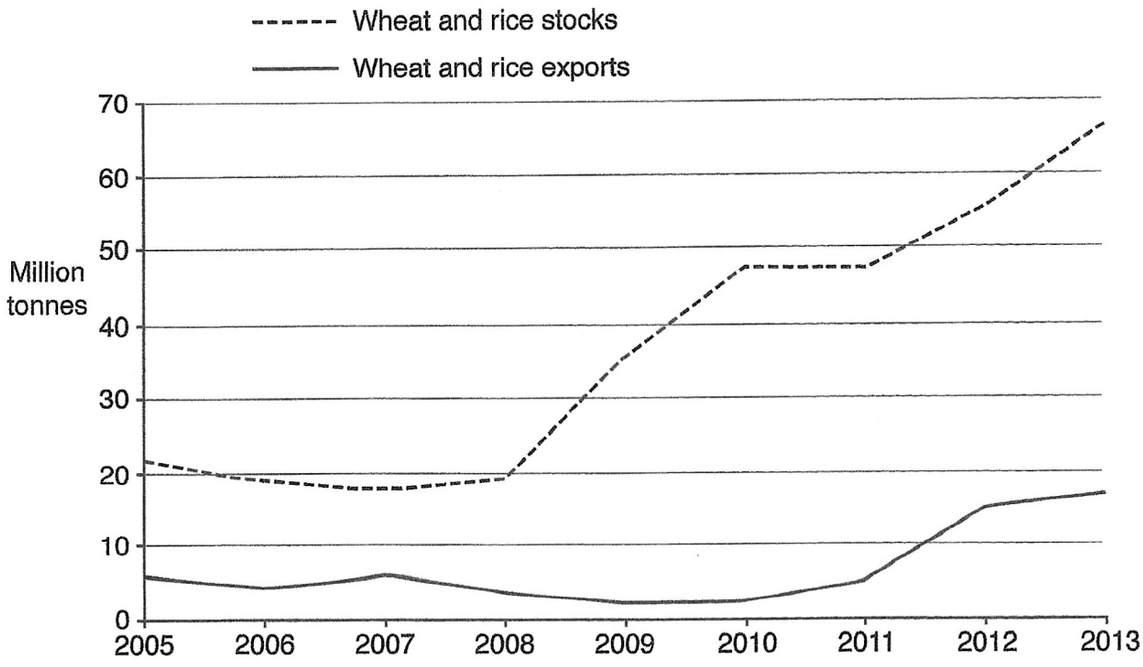
1. The government sells a portion in 500,000 'fair price' stores to some 800 million poor people at low prices.
2. An estimated 40% never reaches its intended consumers because of corruption.
3. Some is wasted owing to inadequate storage and transport.
4. Some is exported. This is particularly true for wheat, which the government sells from its stocks at prices below acquisition and transport costs.

The loss of crops seems particularly cruel in a country where many people remain hungry.

Although the United States has been the largest market for India's agricultural exports in the past two years, nearly all other large markets for India are developing countries. In total, 79% of India's exports went to developing markets. Exports have been particularly strong to least developed countries (LDCs), with India becoming the top supplier in 2013 with a rapidly growing agricultural trade surplus with these nations.

Figure 2

Stocks and exports of wheat and rice



Source: US Department of Agriculture, accessed 3 September 2014

Questions

(a) Estimate and compare the value of India's total imports of agricultural products in 2013 and 2005. [2]

(b) Using a supply and demand diagram, explain how the Indian government's purchase of grains at artificially high minimum support prices has contributed to the changes shown in Figure 2. [4]

(c) **(i)** Suggest **two** ways in which changes in the prices of exports and imports might lead to the change in India's terms of trade in 2013 compared to 2005. [2]

(ii) Explain how a rise in the terms of trade can be consistent with a strong rise in the value of India's net exports of agricultural products. [4]

(d) Discuss how far the concept of comparative advantage explains whether India should specialise in agricultural products or other goods. [8]

(e) Discuss whether the Indian government's policy towards agriculture can be justified. [10]

[Total: 30]

Extract 5: Japanese consumer price inflation still below target

Japanese core consumer inflation, which excludes the volatile prices of fresh food but includes oil products, hit 3.3% in July 2014, compared with the same month in 2013. In April 2014, however, the government had increased the sales tax from 5% to 8%. If the effects of this rise are excluded, the inflation rate stood at 1.3%, still below the 2% target that the central bank pledged to meet next year.

Household spending fell more than expected, and factory output remained weak in July 2014 after plunging in June, suggesting that disappointing exports and the sales tax increase may drag on the economy longer than expected. While the central bank, the Bank of Japan, has no plans to expand monetary stimulus anytime soon, it will be under pressure to act if the economy fails to gather momentum.

Household spending was 5.9% lower in July 2014 than in July 2013, because the higher sales tax hurt purchasing power and bad weather kept consumers at home over the summer. A senior economist said "Consumer spending will recover, but the pace will be slow. I don't see the need for a big fiscal spending package, but the government may try to come up with some form of economic stimulus for next year."

Separate data showed that companies continued to cut back on production as sluggish demand at home and overseas led to a build-up in inventories, another sign that the pain of the tax increase is proving to be more severe than initially expected. Despite weak signs in the economy, the Bank of Japan is optimistic that a tightening job market will lead to higher wages and more income for households to spend, thereby keeping Japan on track to meet its 2% inflation target.

The unemployment rate, however, rose to 3.8% in July 2014 from 3.7% in June. The jobs-to-applicants ratio was 1.1, the highest for 22 years. In addition, industrial output rose by only 0.2% in July, far less than the 1% increase projected by a group of economists. That was a weak rebound from a 3.4% fall in June — which had been the fastest drop since the March 2011 earthquake and tsunami — as companies slowed production in response to weak exports and slack post-tax domestic demand. Manufacturers expected to raise output 1.3% in August and 3.5% in September, although these estimated increases were largely in reaction to sluggish output in June and July.

Many analysts agree with the Bank of Japan that growth will rebound, though some warn that the recovery may falter if the tax-increase pain is prolonged and exports fail to increase.

Source: *Reuters*, 29 August 2014

Table 2: Annual percentage rate of increase in the consumer price index

Year	Brazil	Japan
2009	4.90	–1.34
2010	5.04	–0.72
2011	6.63	–0.28
2012	5.40	–0.03
2013	6.21	0.36
2014	*6.20	**2.67

*Monthly average to June 2014
**Monthly average to April 2014

Source: *Inflation.eu*

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ECONOMICS

9732/02

Paper 2 Essay Questions

October/November 2016

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen on both sides of the paper.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 'The overall Singapore government budget for Fiscal Year 2013 is estimated to have recorded a surplus of S$3.9 billion (1.0% of GDP).'

Source: Recent Economic Developments in Singapore, 6 June 2014, Monetary Authority of Singapore

Assess the likely impact of the budget surplus on the Singapore economy, both domestically and internationally. [25]

5 **(a)** Explain why macroeconomic policy decision-making is made more difficult by possible conflicts between government objectives. [10]

(b) Assess the relative effectiveness of the alternative macroeconomic policies that the Singapore government could adopt to maintain a low rate of unemployment. [15]

6 Between 2012 and 2013 the number of Singapore dollars required to buy US dollars and Chinese Renminbi increased by 3.5% and 6.6% respectively, while the number of Singapore dollars required to buy Japanese Yen and Malaysian Ringgit fell by 15.2% and 3.5% respectively.

Source: Monetary Authority of Singapore

(a) Explain how an appreciation of a country's currency might affect the current account of its balance of payments. [10]

(b) Discuss the likely overall effects of the changes in the exchange rate in 2012–13 on Singapore's domestic economy. [15]

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Question 2	© *Singapore Public Sector Outcomes Review 2014*; Singapore Ministry of Finance; http://www.mof.gov.sg/portals/0/SPOR%202014.pdf
Question 3	© *Facts about Petrol Prices and the Australian Fuel Market*; http://www.aip.com.au/pricingfacts/Facts_about_Petrol_Prices_and_the_Australian_Fuel_Market.htm 2014.
Question 4	© *Recent Economic Developments in Singapore*; Monetary Authority of Singapore; http://www.mas.gov.sg/~/media/MAS/Monetary%20Policy%20and%20Economics/The%20Singapore%20Economy/RED/20140606%20RED%20Brief_FINAL.pdf
Question 6	© *Other Financial Statistics*; Monetary Authority of Singapore; http://www.mas.gov.sg/Statistics/Other-Statistics.aspx 2014.

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 The price of a pair of jeans can be as little as S$20 or as much as S$500.

(a) Explain what might cause price elasticity of demand and cross elasticity of demand to be different for different products. [10]

(b) Assess the likely effects of a rise in price of one brand of jeans on the revenue earned by both retailers of that brand of jeans and those who sell other related goods. [15]

2 Singapore's spending on healthcare is about 4% of GDP. This is lower than many developed countries. However, Singapore's population is ageing and economic growth may not be as high as before. The government's share of national healthcare expenditure is expected to rise from 33% in 2012 to over 40% in the future.

Source: adapted from Singapore Public Sector Outcomes Review, 2014

(a) Explain why a government intervenes in the provision of healthcare. [10]

(b) Discuss how the opportunity cost of increased healthcare expenditure differs, depending on whether it is financed by individuals or the Singapore government. [15]

3 In Australia, small and remote communities face high and stable prices for petrol. The petrol is supplied by one or two small petrol stations owned by small independent retailers. Prices are lower and more volatile in the large cities, where there are a large number of big petrol stations owned by a small number of big oil companies.

Source: Australian Institute of Petroleum

(a) Explain why less market competition might lead to higher and more stable prices. [10]

(b) Assess whether differences in the level of competition are likely to be the main reason for differences in the retail prices of petrol in rural and urban areas of Australia. [15]

Questions

(a) State what happened to consumer prices in Brazil and Japan between 2011 and 2012. [2]

(b) Japan increased its sales tax in April 2014. Using a diagram, explain what determines the size of the increase in the price of a good following such a tax increase. [4]

(c) **(i)** Use aggregate demand and supply analysis to explain the causes of inflation in Brazil in 2014. [4]

(ii) Explain how the strengthening of the US and the EU economies might affect prices in Brazil. [2]

(d) Assess the likely effectiveness of a government policy of changing interest rates in solving the problems of the Japanese economy. [8]

(e) Discuss whether the Brazilian or the Japanese government has the more damaging and persistent inflationary problem. [10]

[Total: 30]

Copyright Acknowledgements:

Question 1 Extracts 1 & 2 © *India's Agricultural Exports Climb to Record High & India's Exports Benefit from Government Policies and Subsidies*; US Department of Agriculture; 2 September 2014.
Question 1 Figures 1 & 2 © *India Emerges as a Large Net Exporter of Agricultural Products & India's Grain Stocks Up Sharply*; US Department of Agriculture; 3 September 2014.
Question 1 Extract 3 © Dan Pearson; *India's Dangerous Food Subsidies*; The Diplomat; 27 August 2014.
Question 1 Table 1 © *India: Terms of Trade (2005–2013)*; UNCTAD Statistics.
Question 2 Extract 4 © Paulo Trevisani; *Brazil Inflation Rate Exceeds Official Target Range in June*; Wall Street Journal; 8 July 2014.
Question 2 Extract 5 © *Japanese Consumer Price Inflation Still Below Target*; Reuters; 29 August 2014.
Question 2 Table 2 © *Annual Percentage Rate of Increase in the Consumer Price Index*; Inflation.eu.

Question 2: Inflation policies in Brazil and Japan

Extract 4: Brazil inflation rate exceeds official target range in June

Consumer prices provided further worrying economic news for Brazil, as the inflation rate exceeded the government's official target range in June 2014. Brazil's inflation target is 4.50%, with an allowed range of 2.50% – 6.50%. Brazil's 12-month inflation index rose to 6.52% last month, up from 6.37% in May.

Inflation has been causing problems for Brazil for years as millions moved out of poverty to create a new consumer class. Brazilians' new buying power was not matched by increased production of goods and services. With higher demand and stagnant supply, prices began to move up. The inflation index got into a steady upward trend by mid-2012 and broke the target ceiling in March 2013, prompting the central bank to raise the interest rate from 7.25% in April 2013 to 11% in April 2014 in an effort to curb inflation. But economists say those efforts are not enough.

The problem for some is that Brazil's government spends too much, and that cash welfare benefits are also contributing to inflation by increasing the purchasing power of millions of consumers. Measures to maintain high employment are also increasing labour costs, which is further fueling prices.

Price increases are just one piece of the bad news for the Brazilian economy. The nation's manufacturing sector is in a slump and business confidence is down. Analysts project that Brazil's economy will struggle to grow even 1% this year.

The combination of rising prices and weak production makes life difficult for policy makers. The usual policy against inflation is to raise the cost of borrowing. But if the central bank continues to raise interest rates the economy may grind to a halt, or even shrink. A recession this year is not out of the question. The government has tried to kick-start growth via tax cuts and other incentives, with mixed results. Critics fear these policies may make inflation even worse. Government officials, however, contend that a global economic recovery is in the making and Brazil stands to benefit as larger economies such as the US and the EU get stronger and import more.

'Inflation is under control and will end 2014 within the limits of the range,' the President of Brazil's central bank said in an interview last week. He said the full impact of Brazil's tight monetary policy is still to be felt, and the inflation rate will move 'towards the target,' in the next couple of years, although he acknowledges that, for now, 'inflation will remain at high levels'.

Source: Paulo Trevisani, *Wall Street Journal*, 8 July 2014

Table 1: India: terms of trade indices (2005–2013), year 2000 (base year) = 100

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013
Indices	105.2	110.8	114.2	117.2	131.7	132.5	127.6	127.7	131.1

Source: UNCTAD Statistics

The index of the terms of trade is defined as:

$$\frac{\text{the index of export prices}}{\text{the index of import prices}} \times 100$$

Extract 3: India's dangerous food subsidies

India's farm subsidies and MSPs are already far in excess of the limits agreed to in their World Trade Organisation (WTO) commitments. Now India wants to increase subsidies further. With global commodity prices weakening, the increased subsidies are likely to further damage farmers in other countries, prompting retaliation from their governments.

India's farm subsidies harm its own economy. Farmers are incentivised to devote more land and water to subsidised crops, such as wheat, rice and sugar. This leads to less production and higher prices for other items, such as fruits and vegetables that consumers also want to buy. India's government justifies these policies under the guise of achieving 'food security' (where everyone has access to sufficient healthy food) by encouraging domestic production of basic crops.

WTO rules on agricultural subsidies came into effect in 1995 because the global marketplace had been affected by their use among wealthy nations, most prominently the European Union and the United States. Farmers in non-subsidising countries suffered with low prices, as the subsidised food from wealthy nations pushed down the market price. The WTO 1995 Agreement on Agriculture addressed this problem by placing limits on these trade-distorting subsidies, while allowing a wide range of non-distorting government services and payments to be provided to farmers. It also permitted governments to spend as much as they wish to provide food to low-income people.

Recently India ignored the WTO's prohibition on new export subsidies and began to use them on sugar, thus undercutting sugar exporters such as Thailand and Brazil. If India won't follow the rules to which it has agreed, other countries are likely to follow suit soon.

Source: Dan Pearson in *The Diplomat*, 27 August 2014

Answer **all** questions.

Question 1: India's agricultural policy

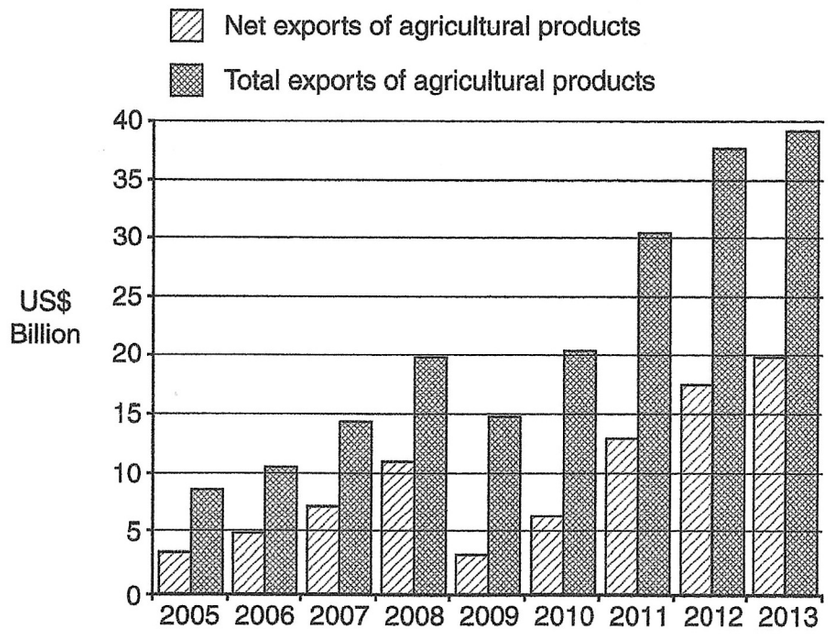
Extract 1: India's agricultural exports climb to record high

In the past decade, India has emerged as a major agricultural exporter, with exports climbing from just over US$5 billion in 2003 to a record of more than US$39 billion in 2013. In terms of agricultural products, in 2013 India was the world's sixth-largest net exporter. India has become a very important player in the global market, especially for rice, cotton, sugar, and bovine meat (buffalo). In addition to these products, India has also become a sizeable exporter of guar, corn and wheat, as well as a diverse range of other products. India's export growth of agricultural products over the past decade has been the highest of any country, with an annual rate of growth of more than 21%.

Source: US Department of Agriculture, accessed 3 September 2014

Figure 1

India emerges as a large net exporter of agricultural products



Source: US Department of Agriculture, accessed 3 September 2014

Extract 2: India's exports benefit from government policies and subsidies

One of the drivers behind India's export growth in agricultural products has been the dramatic increase in government support provided to agriculture, in particular for wheat and rice. It is estimated that the Indian government's total support for agriculture has grown to US$85 billion in 2013/14. Furthermore, the government's latest budget indicates that support is likely to reach a record high in 2014/15. In addition to providing subsidies to irrigation schemes, power and fertiliser, which boosts production for many exported crops such as cotton and sugar, the Indian government provides direct price support for wheat and rice, among other commodities.